short-selling by FIIs who were borrowing stocks held in P-note accounts. Unknown to investors in P-notes, the broking firms holding the shares on their behalf would loan their shares to other FII clients for short-selling. This was a lucrative business for the broking firms as they could charge a juicy fee for this ‘loan’. The FIIs would first sell the borrowed shares, then buy them back at lower prices and return them to the broking firm.

Since the mood in the market was bearish, these ‘borrowed’ short sales, while earning handsome profits for the FIIs, further collapsed share prices. Ironically, the stocks that bore the brunt of this selling fury were among the favourites of institutional investors only a few months ago. Many panicky FIIs dumped their holdings and fled to safer havens.

Over the years, I had come to like bear markets and the art of making money through short-selling. Any novice can make money in a raging bull market but only a truly professional trader can profit from a falling market. Short-selling tests a trader’s nerves in a way that going long does not.

I still remember GB’s explanation as to why there were always more bulls than bears in the market and why most traders were loath to short-sell in a falling market as aggressively as they would go long in a rising market.

‘Human beings are by nature optimistic, and traders are no exception to the rule, even if they are only concerned with making money in whatever way possible,’ he had told me many years ago. ‘It is easy for a trader to buy a stock and hope that it will go up, rather than sell a stock and then hope that it will decline. If you buy a stock for Rs 100, you know that at worst the price can go down to zero, and that the maximum you stand to lose is Rs 100. Of course, a stock price will never go down to zero. If you short-sell a stock at Rs 100, there is no limit to which the stock price can rise.

‘So a trader long on the stock can sustain his hopes even if the stock price falls to Rs 90. But most traders short on a stock at Rs 100 will start squirming the moment the stock price climbs to Rs 110. To begin with, many of them are going against their natural tendency when they short-sell, and will be uneasy till they see the price slipping below the rate at which they have sold. That is why it takes a really courageous trader to go short, even if the market can give up in a week the gains that took months to build. Traders are more disciplined when it comes to short sales and, in general, end up losing less than what they would from long trades.’

The crisis in the global financial markets was growing steadily worse, reaching a flashpoint on 15 September. That was the day when Lehman